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By Mdh D Dutfan Date 1-4-79

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AIR MAIL

EMBASSY OF THE
UNITED STATES OF AMERICA

No. 442 Chungking, June 4, 1942

Subject: The crisis in the China situation; memorandum of conversation with the British Ambassador and Australian Minister.

DIVISION OF SPECIAL RESEARCH JUL 20 1942 DEPARTMENT OF STATE
Division of FAR EASTERN AFFAIRS JUN 29 1942 Department of State
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ADVISER ON POLITICAL RELATIONS MR. HORNBECK JUL 6 - 1942 DEPARTMENT OF STATE
SPECIAL ASSISTANT TO THE SECRETARY OF STATE JUL 17 1942 MR. PASVOLSKY

CONFIDENTIAL

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The Honorable,
The Secretary of State,
Washington, D. C.

Sir:

1/ I have the honor to enclose as of possible interest to the Department copy of a memorandum of my conversation on May 25, with the British Ambassador and the Australian Minister, who called on me by appointment, to discuss the crisis in the China situation with a view to determining whether there is anything that our Governments might do to "keep China in the war on our side".

Both the British Ambassador and the Australian Minister are new to China and their rather gloomy views may be ascribed in part to their lack of China background and resulting difficulty in evaluating the situation; also, in part at least, to the "defeatist" attitude of certain elements of the community, including some American and British military officers, who should be more objective in their viewpoint

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point and more discreet in their expressions of opinion.

Respectfully yours,

C. E. Gauss

Enclosure:
1/ Memorandum of conversation May 25 with British Ambassador and Australian Minister

Original and four copies to the Department.

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Enclosure no.1 to despatch no. 442 dated June 4, 1942 from the Embassy at Chungking.

Memorandum of Conversation. May 26, 1942.

Subject: The crisis in the China situation.

Present: British Ambassador (Sir Horace Seymour)
Australian Minister (Sir Frederick Eggleston)
Counselor, British Embassy (Sir Eric Teichman)
and
Mr. Gauss

The British Ambassador and Australian Minister called on me by appointment at my residence yesterday afternoon. The British Ambassador asked the Australian Minister to explain the object of their visit, and the latter stated that it was felt that the China situation had reached a crisis where we should all consider whether there is anything that our Governments might do to "keep China in the war on our side". He considered the situation in Chekiang and Yunnan to be grave and indicated that he feared that China might stop fighting and collapse. The British Ambassador added nothing to the foregoing.

I asked my Australian colleague what he had to suggest that we might recommend to our Governments in the situation as he sees it. Sir Frederick said that he had no specific proposals to make. He referred to the recent plea of the Chinese Government spokesman for more air support to China, suggested that the possibility of continuing supplies to China by new routes should be considered, and remarked that perhaps there might be something that the United Nations might say to China--something more than appears in the Atlantic Charter or the Declaration of the United Nations--something that will encourage China to go on fighting, that will assure China that the United Nations will continue to fight on until China's aspirations as well as our own are achieved. He wondered whether there is any other aid or assistance that can be given to China and commented that while he understood the terms of the United States loan to China had been settled, he understood that there were unsettled points in the terms of the British loan; he said that perhaps these might be settled and give encouragement to China. The British Ambassador had nothing to add to the foregoing; nor did he comment on the unsettled points, whatever they may be, in the terms of the British loan to China.

I commented as follows:

1. Air Support. I had of course noted the statement of the Government spokesman and had brought the plea to the attention of Washington, recommending that, so far as practicable, further air support should be given to China. But I pointed out that this matter of air support is not a simple problem. So far as concerns planes from the United States, we have been pressed for planes for Britain, Russia, India, Australia, China and for other United Nations; in addition, we are endeavoring to build up our own air force to offensive fighting strength. Whether more planes can be spared for China is not a matter we can determine here; it must be determined in the councils at Washington, so far as concerns American planes.

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I pointed out that planes alone are not sufficient; there must be personnel to fly them, fight them and service them; there must be airfields in China capable of taking them; there must be supplies of aviation gas, and bombs, and spare parts; there must be ground crews. I also pointed out that fighter planes cannot be flown from America to China; there is the question of shipping space. China has only limited personnel to fight and fly planes and service them. All these, I said, are problems which require consideration; and while I had recommended that so far as practicable, additional air support be given to China, I could not say what could be done in that direction; but I pointed to the AVG and what it had accomplished, and added that while I was en route to India I had met AVG and United States Army pilots who had been flying in fighter planes to China that had reached India from the United States, and I had every confidence that my Government would do all in its power to give air support to China.

The British Ambassador commented that he had recommended to London that China have more air support.

2. Routes of Supply for China. I commented that according to my information, all possible routes of supply are being investigated; that to the northwest to Soviet Russia seems particularly important, both the land route and the air route, but whether the routes can be opened seems to depend on the attitude of Soviet Russia. I said that I believed that our governments are well aware of this situation and no doubt they are giving Chinese proposals all possible support. The British Ambassador agreed.

I continued that I was aware that United States Army transport planes are continuing to bring in essential supplies from India and Assam--American lend-lease materials--notwithstanding dangerous conditions and unfavorable weather.

I suggested that if anyone had anything to offer to assist in the situation I, for one, should be glad to learn of it.

3. On any "assurances" to China which might help the situation, it had seemed to me that the Atlantic Charter and the Declaration of the United Nations had been clear indications of our determination to fight for China as well as ourselves. I had nothing to recommend to my Government in the present situation, but if anyone could make a suggestion I should be glad to discuss it. I commented that I knew nothing of the matter of the British loan to China. I added that as they perhaps knew, we had sent substantial amounts of supplies to Burma for China; in fact more than China had been able to move into China from Burma; no doubt considerable amounts of these supplies had been lost in Burma and inside China along the Burma Road, but I had no official information on the extent of such losses.

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The British Ambassador commented that he and the British Counselor of Embassy had turned up their file showing the texts of the Atlantic Charter and the Declaration of the United Nations at Washington and had nothing to suggest further at this time.

Turning to the military situation, (I knew that the Australian Minister has long been of the opinion that Japan would stop to liquidate the China situation before venturing toward India or Australia) I commented that I did not yet see indications that Japan intends to undertake a major offensive against China; that there are as yet no reports of substantial Japanese reinforcements for the China theater; that it is true that for some days the Japanese thrust up the Burma Road appeared ominous, but after the AVG had intervened and given the Chinese time to move troops into position that situation seemed improved and I doubted whether the Japanese, at the present time, intended to do more than (a) block all access from India and Assam into China and (b) reach, and seize or destroy all possible American and other supplies for China stored along the lower reaches of the Burma Road. Japan may later determine on an offensive into Yunnan along the Burma Road, and perhaps from Indochina and Thailand, but such an offensive would require extensive preparation, and the present is not the ideal season for such a movement.

As to the Chekiang front, I conceded that the situation there is discouraging; Japan undoubtedly intends to seize the Chinese airfields in Chekiang and Kiangsi, and to shut off all Chinese access to the coast (where smuggling routes have long functioned); but the move in Chekiang seems to have been undertaken by local forces from the surrounding areas--there has been nothing as yet to indicate substantial Japanese reinforcements from outside China.

I commented further that in my contact with the higher Chinese officials I had observed no suggestion that China's will to resist is weakening, nor had I observed that those elements which perhaps would be disposed to look to a possible compromise with Japan had gained any strength.

Both the British Ambassador and the Australian Minister being new to China, but the British Counselor of Embassy, Sir Eric Teichman, being an "old China hand", I looked to him for helpful comment; but in response to the request for his views on the subject he would not comment further than to say that he considers that China "is in an exceedingly difficult position".

Summing up, the Australian Minister said that he proposed to report to Canberra, as the result of our conversation, that the matter of additional air support for China has been brought to the attention of both London and Washington, that the question of new supply routes to China has not been overlooked and is being explored along with the Chinese, and that there is no suggestion as to any recommendation which we might make to our Governments for further "assurances" to China at this time.

Sir Eric Teichman in summing up my comments on the military situation said that he understood that I did not consider the situation hopeless, that I did not anticipate that the Japanese would undertake a major offensive in China at the present moment --though they might prepare to do so later--but were concentrating on shutting off the Burma Road and seizing and destroying

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all military supplies they could reach in that area, while in Chekiang they were moving to take over the Chinese airfields which might be used as bases against Japan. That I did not find China less determined to continue to resist.

(Note: Except that the British Ambassador and the Australian Minister are both new to China and are apparently helpless in evaluating the China situation, I would have considered their visit in which they offered so little and demanded so much by way of information and opinion, a peculiar move. I felt however that there has been so much of a defeatist attitude taken in some foreign (including military) quarters at Chungking that it was desirable to be frank and outspoken in the expression of my views which they had sought).

C. E. G.

(True copy: WR
(Compared: ——— }